najbliżej Ciebie

Quarterly Report
of the Dino Polska S.A. Group
for Q1 2020

Unofficial translation. Only the Polish version is binding.

Dino Polska Spółka Akcyjna ("Dino", "Company", "parent company") Joint stock company with its registered office in Krotoszyn at ul. Ostrowska 122, 63-700 Krotoszyn, entered in the register of businesses of the National Court Register under file number 0000408273. NIP no. 6211766191, REGON no. 300820828. The Company's share capital as at 31 March 2020 was PLN 9,804,000.00 and consisted of 98,040,000 shares with a nominal value of PLN 0.10 each.
This document ("Q1 2020 Report", "Report") comprises the condensed quarterly consolidated financial statements (unaudited) of the Dino Polska S.A. Group ("Group", "Dino Group") for Q1 2020 ("Financial Statements"), the Company's condensed financial information and additional information required by the pertinent legal regulations.

Unless specified otherwise, the data in this Report comes from Dino. This document was prepared on 15 May 2020 ("Report Date").

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1. DINO GROUP'S FINANCIAL HIGHLIGHTS

	PLN 000s		EUR 000s*	
	01.01.2020-31.03.2020	01.01.2019-31.03.2019	01.01.2020-31.03.2020	01.01.2019-31.03.2019
Sales revenue	2,220,384	1,560,476	505,057	363,087
Operating profit	143,636	94,617	32,672	22,015
Profit before tax	128,288	82,350	29,181	19,161
Net profit	103,913	66,965	23,636	15,581
Number of shares	98,040,000	98,040,000	98,040,000	98,040,000
Basic / diluted earnings per share in PLN, EUR	1.06	0.68	0.24	0.16
Cash flow from operating activities	19,746	16,267	4,492	3,785
Cash flow from investing activities	(228,739)	(241,157)	(52,030)	(56,112)
Cash flow from financing activities	170,013	120,162	38,672	27,959
Net change in cash and cash equivalents	(38,980)	(104,728)	(8,866)	(24,368)

* In the case of data in EUR, the arithmetic mean of the EUR/PLN exchange rates published by the National Bank of Poland on the last day of every month in a given reporting period were used:

- average NBP exchange rate for Q1 2020: 4.3963
- average NBP exchange rate for Q1 2019: 4.2978

	PLN 000s		EUR 000s*	
	31.03.2020	31.12.2019	31.03.2020	31.12.2019
Total assets	4,498,592	4,350,750	988,202	1,021,663
Total non-current assets	3,311,947	3,215,763	727,533	755,140
Total current assets	1,186,645	1,134,987	260,669	266,523
Equity	1,726,266	1,622,353	379,207	380,968
Share capital	9,804	9,804	2,154	2,302
Non-current liabilities	1,032,385	860,217	226,783	202,000
Current liabilities	1,739,941	1,868,180	382,211	438,694

* In the case of data in EUR, the average EUR/PLN exchange rates in the period, as published by the National Bank of Poland, were used:

- NBP's average exchange rate as at 31 Mar. 2020: 4.5523
- NBP's average exchange rate as at 31 Dec. 2019: 4.2585

2. Management Board Activity Report

2.1. Operations of the Dino Group

2.1.1. Business profile

Dino is a Polish network consisting of medium-sized grocery supermarkets located close to clients' places of residence. The Company is one of the fastest growing retail grocery networks in Poland measured by the number of stores and revenues.

As at 31 March 2020 the Dino network consisted of 1,257[1] stores with a total selling area of 487,094 square meters. Dino Polska has many years of experience and a proven capacity to open new stores, enabling it to grow its number of stores by 618, i.e. 97%, in the period of three years up to 31 March 2020. Its geographic expansion has been accompanied by significant like for like (LFL) revenue growth in its existing store network, which in Q1 2020 stood at 20.3% compared to the corresponding period of 2019. Dino Polska continues to develop its network rapidly, consistently looking for sites for its new stores.

Dino Polska's operating strategy is based on a standard store design, equipped with parking places for its customers and supplied with fresh products every day of the week (except for Sundays). Most stores have a sales floor area of approx. 400 square meters. Each store offers its customers approx. 5,000 stock keeping units (SKUs), for the most part well-known branded products and fresh products as well as a meat counter manned by store staff.

The Dino Polska Group's business model is scalable to a large extent. It comprises centralized management supported by suitable IT systems, a logistics network based on four distribution centers and the transportation network managed by Dino. Dino sources most products directly from producers or their main representatives. The large and constantly growing volumes of orders we place with suppliers accrue benefits in the form of economies of scale. They also enable Dino to purchase merchandise on favorable terms that should improve steadily as the sales network continues to expand. These drivers, combined with operational leverage and store network maturation, consistently enhance the Dino Polska Group's profitability.

Dino's strategy assumes further business development through focus on three key areas:

- continuation of rapid organic growth in the number of stores – the Management Board of Dino Polska intends to maintain the high pace of growth of the selling area in Dino stores in subsequent years. The Management Board of Dino Polska plans to continue to leverage the network's ability to grow organically in its current form by doing the following: (i) continuing to drive up its store density in its current areas of operation and (ii) steadily expanding in new regions, which ultimately should have a similar saturation of Dino stores to other regions.

- continuing to grow LFL sales revenues in the current store network – to continue growing LFL sales revenues in the existing store network, the Dino Group will take actions to augment customer traffic in Dino stores and the basket value per customer.

- consistent improvement of profitability – in past years the Dino Group generated sustainable growth in its EBITDA margin. The aim is to continue to improve profitability by expanding the scale of operations and thanks to the favorable business model and strategic initiatives undertaken by the Dino Group.

[1] *Including 23 stores waiting to be opened.*

2.1.2. Recap of the Dino Group's operations in Q1 2020

In Q1 2020, the Dino Group's revenue totaled PLN 2,220.4 million and was PLN 659.9 million, i.e. 42.3% higher than in Q1 2019. Concurrently, the cost of sales rose 42.4% to PLN 1,675.6 million.

The table below presents selected line items from the consolidated statement of profit or loss

(PLN 000s)	Q1 2020	Q1 2019	change
Sales revenue	**2,220,385**	**1,560,476**	**42.3%**
Cost of sales	(1,675,574)	(1,177,029)	42.4%
Gross profit on sales	**544,810**	**383,447**	**42.1%**
Other operating income	1,901	1,274	49.2%
Sales and marketing expenses	(377,990)	(273,190)	38.4%
General administration expenses	(21,892)	(15,180)	44.2%
Other operating expenses	(3,193)	(1,734)	84.1%
Operating profit	**143,636**	**94,617**	**51.8%**
Financial income	597	71	740.4%
Financial expenses	(15,945)	(12,338)	29.2%
Profit before tax	**128,288**	**82,350**	**55.8%**
Income tax	(24,375)	(15,385)	58.4%
Net profit	**103,913**	**66,965**	**55.2%**

In Q1 2020 profit measured by EBITDA grew year on year by 44.0% to PLN 190.1 million. The EBITDA margin was 8.56% versus the 8.46% margin posted one year ago.

The following table presents EBITDA

(PLN 000s)	Q1 2020	Q1 2019	change
Net profit	**103,913**	**66,965**	**55.2%**
Income tax	(24,375)	(15,385)	58.4%
Result on financing activity	(15,348)	(12,267)	25.1%
Depreciation and amortization	(46,506)	(37,398)	24.4%
EBITDA	**190,142**	**132,015**	**44.0%**
EBITDA margin	8.56%	8.46%	-

Sales revenue

Significant top line improvement is the outcome of Dino's store network roll-out to open new stores and growing revenues in the existing store network (like for like, LfL)[2]. LfL sales growth in Q1 2020 was 20.3%. Moreover, in March 2020 the high pace of revenue growth was driven by heightened shopping by Dino's customers in connection with the epidemiological situation.

The following table presents a comparison of the inflation trends in Poland and top line LFL growth in Dino's current store network.

%	Q1 2020	Q1 2019	2019	2018	2017
Inflation (deflation)	4.5	1.2	2.3	1.6	2.0
Food price inflation	7.7	1.8	4.9	2.6	4.6
Dino's LFL	**20.3**	**5.0**	**11.6**	**11.6**	**16.2**

Fresh products, including meat, cold cuts and poultry accounted for 40.2% of the Group's sales in Q1 2020, signifying growth of 1 percentage point in comparison with the corresponding period of 2019.

[2] *Stores are included in the calculation of LfL revenues starting from the 13th full month of their existence.*

The table below shows the structure of sales revenues by product in individual periods.

%	Q1 2020	Q1 2019
Fresh products	40.2	39.3
Dry grocery products, beverages, alcohol and cigarettes	47.0	48.9
Non-grocery products	12.8	11.8

Dino store network roll-out

In Q1 2020 Dino Polska S.A. completed the investment process involving the launch of 39 stores. 16 stores with a total area of 6.3 thousand square meters were launched by the end of March 2020, while the opening of 23 stores (with a total area of 9.1 thousand square meters) was suspended due to the protracted process of obtaining consents from the state authorities to open them. It is expected that these stores will be gradually opened in Q2 2020.

The following table presents information on the Dino Group's number of stores as at specified dates.

	Number of stores as at 31 March		Number of stores as at 31 December		
	2020	2019	2019	2018	2017
Number of new store openings in the quarter/year	39[3]	33	243	202	147
Total number of stores	1,257[3]	1,009	1,218	977	775
Total selling area (m^2)	487,094[3]	388,962	471,683	375,715	295,226

Cost of sales

The cost of sales was 75.5% and 75.4% of revenue, respectively in Q1 2020 and Q1 2019. The cost of sales rose PLN 498.5 million, i.e. by 42.4% to PLN 1,675.6 million in Q1 2020 compared to PLN 1,177.0 million in Q1 2019, with a 42.3% increase of revenue. This growth was caused mainly by the Dino Group's growing business size in connection with the expansion of the Dino Group's store network and rising sales in the existing store network (LFL).

Sales and marketing expenses

Sales and marketing expenses grew by PLN 104.8 million, i.e. 38.4% to PLN 378.0 million in Q1 2020 compared to PLN 273.2 million in Q1 2019. This growth was mainly driven by the Dino Group's growing business size and the related expansion of the store network and rising LFL sales, thereby necessitating higher costs associated with store upkeep, storage of merchandise and marketing. Moreover, in Q1 2020 the Company incurred incremental expenses related to the necessity of adapting the store network and logistics facilities to the epidemiological situation.

General administration expenses

General administration expenses rose PLN 6.7 million to PLN 21.9 million in Q1 2020 compared to PLN 15.2 million in Q1 2019. This was caused mainly by the expansion of the Group's store network.

Costs by nature

The following table presents costs by nature.

(PLN 000s)	Q1 2020	Q1 2019	change
Depreciation and amortization	46,506	37,398	24.4%
Consumption of materials and energy	212,897	127,882	66.5%
External services	77,701	64,678	20.1%

[3] *Including the 23 stores waiting to be opened at the end of Q1 2020*

Taxes and fees	13,670	9,377	45.8%
Employee benefits	269,882	188,467	43.2%
Other costs by nature	6,399	5,881	8.8%
Cost of goods and materials sold	1,455,330	1,033,482	40.8%
Total costs by nature, including:	**2,089,385**	**1,467,165**	**41.9%**
Items captured in cost of sales	1,675,574	1,177,029	42.4%
Items captured in sales and marketing expenses	377,990	273,190	38.4%
Items captured in general administration expenses	21,892	15,180	44.2%
Movement in products	6,929	1,766	292.4%

Total costs by nature increased by PLN 615.2 million, or 41.9%, to PLN 2,082.4 million in Q1 2020, compared to PLN 1,467.2 million in Q1 2019, mainly as a result of higher: (i) cost of merchandise and materials sold (by PLN 421.8 million), (ii) consumption of materials and energy (by PLN 85.0 million) and (iii) costs of employee benefits (by PLN 81.4 million). This growth was caused mainly by the expansion of the Dino Group's store network and rising sales in the current store network (LFL).

The costs of employee benefits rose PLN 81.4 million, i.e. 43.2% to PLN 269.9 million in Q1 2020 compared to PLN 188.5 million in Q1 2019. This growth resulted primarily from the number of Dino Group employees rising from 17,336 as at 31 March 2019 to 21,595 as at 31 March 2020 in connection with the Dino Group's expanding business size and the related expansion of the Dino Group's store network and rising LFL sales in the current store network and, to a lesser extent, from the higher average salary in the Dino Group.

External services, which comprised in particular transportation services, lease and tenancy services, and maintenance services, increased by PLN 13.0 million, or 20.1%, to PLN 77.7 million in Q1 2020 compared to PLN 64.7 million in Q1 2019. This growth was caused by the Dino Group's growing business size and the related expansion of the Dino Group's store network and rising LFL sales in the current store network.

Consumption of materials and energy increased by PLN 85.0 million, or 66.5%, to PLN 212.9 million in Q1 2020 compared to PLN 127.9 million in Q1 2019. This growth was caused mainly by the higher costs of consumed materials and raw materials in connection with the Dino Group's expanding business size, the expansion of the Dino Group's store network, rising LFL sales in the current store network and to a lesser extent the electricity price hike.

Financial expenses

The Dino Group's financial expenses rose PLN 3.6 million, or 29.2%, to PLN 15.9 million in Q1 2020 compared to PLN 12.3 million in Q1 2019. This growth was caused mainly by the higher amount of interest on loans, borrowings and issued bonds as a consequence of the Group's growing business size and the related expansion of the Dino Group's store network and rising LFL sales in the existing store network.

Balance sheet – assets

(PLN 000s)	**31.03.2020**	**31.12.2019**	**31.03.2019**	**Change 31 March 2020 / 31 December 2019**	**Change 31 March 2020 / 31 March 2019**
Property, plant and equipment	2,950,860	2,846,818	2,570,494	3.7%	26.3%
Right-of-use assets	242,531	251,744	-	-3.7%	-
Intangible assets	99,895	99,048	98,568	0.9%	1.3%
Deferred tax assets	18,648	18,139	16,638	2.8%	12.1%
Total non-current assets	**3,311,947**	**3,215,763**	**2,685,720**	**3.0%**	**23.3%**
Inventories	730,058	623,995	451,458	17.0%	61.7%
Trade and other receivables	40,308	78,123	47,781	-48.4%	-15.6%
Income tax receivables	2	123	0	-98.7%	-
Other non-financial assets	60,089	37,729	98,430	59.3%	-39.0%
Cash and cash equivalents	355,740	394,720	164,192	-9.9%	116.7%

Total current assets	**1,186,645**	**1,134,987**	**761,861**	**4.6%**	**55.8%**
TOTAL ASSETS	**4,498,592**	**4,350,750**	**3,447,581**	**3.4%**	**30.5%**

* up to 31 March 2019 they formed part of property, plant and equipment

Total assets increased by PLN 147.8 million, i.e. 3.4%, from PLN 4,350.8 million as at 31 December 2019 to PLN 4,498.6 million as at 31 March 2020. Compared to 31 March 2019, total assets rose by PLN 1,051.0 million, or 30.5%.

As at 31 March 2020, the main components of total assets were: (i) property, plant and equipment (constituting 65.6%), (ii) inventories (constituting 16.2%) and (iii) cash and cash equivalents (constituting 7.9%).

Non-current assets rose by PLN 96.2 million, i.e. 3.0%, from PLN 3,215.8 million as at 31 December 2019 to PLN 3,311.9 million as at 31 March 2020. Compared to 31 March 2019, non-current assets rose by PLN 626.2 million, or 23.3%. In both cases this growth was caused by higher property, plant and equipment which, in turn, was caused primarily by Dino's network rollout and capital expenditures.

Non-current assets rose by PLN 51.7 million, i.e. 4.6%, from PLN 1,135.0 million as at 31 December 2019 to PLN 1,186.6 million as at 31 March 2020. This growth was driven by inventories being up by PLN 106.1 million, which was partially offset by the decline in cash and trade receivables.

Compared to 31 March 2019, current assets increased by PLN 424.8 million, i.e. 55.8% primarily as a result of higher: (i) inventory (up PLN 278.6 million) which was caused mainly by the Dino Group's expanding business size with the new store rollout and higher levels of inventories in some product categories (ii) cash and cash equivalents (up PLN 191.5 million).

Balance sheet – liabilities and equity

(PLN 000s)	**31.03.2020**	**31.12.2019**	**31.03.2019**	**Change 31 March 2020 / 31 December 2019**	**Change 31 March 2020 / 31 March 2019**
Equity	**1,726,266**	**1,622,353**	**1,278,838**	**6.4%**	**35.0%**
Share capital	9,804	9,804	9,804	0.0%	0.0%
Supplementary capital	1,652,132	1,652,132	1,307,273	0.0%	26.4%
Retained earnings	56,830	-47,083	-45,739	-	-
Other equity	7,500	7,500	7,500	0.0%	0.0%
Total equity	**1,726,266**	**1,622,353**	**1,278,838**	**6.4%**	**35.0%**
					-
Interest-bearing loans and borrowings	748,784	578,755	683,456	29.4%	18.4%
Lease liabilities (LT)	93,682	99,922	68,833	-6.2%	-22.0%
Other liabilities	180	210	240	-14.3%	-25.0%
Liabilities by virtue of outstanding securities (LT)	169,929	169,926	99,853	0.0%	70.2%
Provisions for employee benefits	1,830	1,830	1,550	0.0%	18.1%
Deferred tax liability	17,959	9,509	15,612	88.9%	15.0%
Accruals and deferred revenue (LT)	21	65	246	-67.4%	-91.4%
Total non-current liabilities	**1,032,385**	**860,217**	**869,790**	**20.0%**	**18.7%**
Trade and other payables	1,308,904	1,474,503	1,022,774	-11.2%	28.0%
Current part of interest-bearing loans and borrowings	169,438	137,705	138,220	23.0%	31.8%
Lease liabilities (ST)	51,596	56,316	47,874	-8.4%	-10.3%
Liabilities by virtue of outstanding securities (ST)	100,702	100,724	636	0.0%	15733.6%
Income tax liabilities	71,014	68,606	61,969	3.5%	14.6%
Accruals and deferred revenue (ST)	37,267	29,306	26,939	27.2%	38.3%
Provisions for employee benefits and other provisions	1,020	1,020	541	0.0%	88.7%
Total current liabilities	**1,739,941**	**1,868,180**	**1,298,953**	**-6.9%**	**33.9%**
Total liabilities	**2,777,326**	**2,728,397**	**2,168,743**	**1.8%**	**28.1%**
TOTAL EQUITY AND LIABILITIES	**4,498,592**	**4,350,750**	**3,447,581**	**3.4%**	**30.5%**

As at 31 March 2020, the main components of liabilities were: (i) trade and other payables (short-term) representing 47.1%; (ii) interest-bearing loans and borrowings (long-term) representing 27.0%.

Total liabilities rose PLN 49.6 million, i.e. 1.8%, from PLN 2,728.4 million as at 31 December 2019 to PLN 2,772.0 million as at 31 March 2020. Total liabilities rose PLN 609.3 million, i.e. 28.1% from PLN 2,168.7 million as at 31 March 2019 to PLN 2,772.0 million as at 31 March 2020.

Non-current liabilities increased by PLN 172.2 million, or 20.0% from PLN 860.2 million as at 31 December 2019 to PLN 1,032.4 million as at 31 March 2020, predominantly as a result of higher interest-bearing loans and borrowings (by PLN 170.0 million) caused by the expansion of the Dino store network.

Compared to 31 March 2019, non-current liabilities rose PLN 162.6 million, or 18.7% mainly due to the expansion of the Dino store network.

Current liabilities fell PLN 128.2 million, or 6.9%, from PLN 1,868.2 million as at 31 December 2019 to PLN 1,739.9 million, primarily as a result of a decrease in trade and other payables.

The Dino Group's net debt[4] stood at PLN 978.4 million as at 31 March 2020, signifying growth of PLN 229.8 million compared to 31 December 2019 and growth of PLN 103.7 million compared to 31 March 2019. The net debt to EBITDA ratio for the last 12 months was 1.25x as at 31 March 2020. As at 31 March 2019 it was 1.54x.

Cash flows

(PLN 000s)	**Q1 2020**	**Q1 2019**	**change**
Net cash from operating activities, including:	19,746	16,247	21.5%
profit before tax	128,288	82,350	55.8%
depreciation and amortization	46,506	37,398	24.4%
movement in working capital	(144,856)	(94,053)	54.0%
other	(10,192)	(9,428)	8.1%
Net cash from investing activities	(228,739)	(241,157)	-5.1%
Net cash from financing activities	170,013	120,162	41.5%
Net increase in cash and cash equivalents	(38,980)	(104,728)	-62.8%

The Dino Group generated net operating cash flow in Q1 2020 totaling PLN 19.7 million. In Q1 2019 it was PLN 16.2 million. Working capital exerted a negative impact on net operating cash flow, chiefly as a result of the considerable temporary increase in the level of inventories.

Net cash flow from investing activities totaled PLN -228.7 million in Q1 2020, i.e. it was slightly lower than in Q1 2019. The high level of capital expenditures stems chiefly from the high pace of new Dino store openings and the finalization of construction work in the Company's new distribution center in Łobez. The construction of this center was completed in April 2020 and will start its operations in May 2020.

2.1.3. Factors impacting Dino's operations and results

In the opinion of the Dino Management Board, the following factors will affect the Dino Group's business in the upcoming quarters of 2020:

- pace of new store openings by the Dino Group and (partly driven by the efficiency with which national government authorities issue the required consents in the face of the current epidemiological situation) and the related capital expenditures;

[4] *Defined as interest-bearing loans and borrowings and liabilities under lease agreements + liabilities by virtue of outstanding securities + current part of interest-bearing loans and borrowings and lease liabilities minus cash and cash equivalents.*

- changes in consumer spending precipitated by the epidemiological situation;
- elevated operated expenses following from the necessity of rapidly adapting operating activity to the epidemiological situation;
- growth rate of the prices of consumer goods and services, in particular food and soft drinks,
- improved efficiency of the Company's operations, benefits resulting from economies of scale and optimization of operating expenses, and improved efficiency of logistics services for stores (partially related to the falling costs of automobile fuel);

Due to uncertainty about the future state of the economy, the Management Board's expectations and projections are subject to a high dose of uncertainty.

2.2. Shareholders of the Company and shares held by management board and supervisory board members

As at the Report Date, the Company's share capital is PLN 9,804,000 and is divided into 98,040,000 series A ordinary bearer shares with a par value of PLN 0.10 each. There are no shares in the Company with special control powers attached. Nor are there any restrictions on the exercise of voting rights or transferability of legal title to Dino shares.

Shareholding structure of Dino Polska S.A. as at the Report Date

	Number of shares and number of votes at the Shareholder Meeting	Percentage of share capital and votes at the Shareholder Meeting
Tomasz Biernacki with a subsidiary[5]	50,103,000	51.1%
Other shareholders	47,937,000	48.9%

As at the Report Date, to the Company's best knowledge, the only holder of Dino Shares representing, directly or indirectly, at least 5% of the total number of votes at the Shareholder Meeting, is Tomasz Biernacki, Chairman of the Dino Polska Supervisory Board.

At the Report Date, Szymon Piduch, President of the Management Board, held 141,000 shares. Compared to 31 December 2019 and the publication date of the 2019 annual report, the number of shares held by Szymon Piduch has not changed. Michał Krauze, a Management Board Member, held 30,000 Company shares as at the Report Date. Compared to 31 December 2019 and the publication date of the 2019 annual report, the number of shares held by Michał Krauze has not changed. Michał Muskała, a Management Board Member, did not hold any Company shares as at the Report Date. Compared to 31 December 2019 and the publication date of the 2019 annual report, the number of Company shares held by Michał Muskała has not changed.

Among the Supervisory Board members, as at the Report Date the following members held shares in Dino: Tomasz Biernacki (Supervisory Board Chairman) – as detailed in the table above and Eryk Bajer (Supervisory Board Member) – 19,900 shares and Sławomir Jakszuk (Supervisory Board Member) – 1,600 shares. The number of Company shares held by Supervisory Board members has not changed since 31 December 2019 or the date of publishing the 2019 annual report.

2.3. Operating Segments

The Dino Polska S.A. Group runs its operations in one business sector and has one operating and reporting segment in the form of sales in a retail store network.

Its revenues may be broken down by type of product or merchandise or product group. However, the Management Board does not measure detailed operating results generated by any of such categories, which means that it would be problematic to ascertain the unambiguous impact of the allocation of resources on each category. As such, information on revenues generated in each category is of a limited decision-making value. Because the smallest

[5] *BT Kapitał Sp. z o.o., a subsidiary of Tomasz Biernacki, holds 103 thousand Company shares*

area of business for which the Management Board reviews profitability ratios is the level of the Dino Polska S.A. Group as a whole, only one operating segment has been isolated.

(PLN 000s)	***Q1 2020***	***Q1 2019***
Revenue on sales of products and services	282,245	184,830
Revenue on sales of goods and materials	1,938,139	1,375,646
Total	**2,220,384**	**1,560,476**

3. Condensed consolidated financial statements of the Dino Polska S.A. Group

3.1. Condensed consolidated statement of profit or loss

for the period from 1 January 2020 to 31 March 2020 (PLN 000s)

	01.01.2020-31.03.2020	*01.01.2019-31.03.2019*
Continuing operations		
Sales revenue	2,220,384	1,560,476
Cost of sales	(1,675,574)	(1,177,029)
Gross profit on sales	**544,810**	**383,447**
Other operating income	1,901	1,274
Sales and marketing expenses	(377,990)	(273,190)
General administration expenses	(21,892)	(15,180)
Other operating expenses	(3,193)	(1,734)
Operating profit	**143,636**	**94,617**
Financial income	597	71
Financial expenses	(15,945)	(12,338)
Profit before tax	**128,288**	**82,350**
Income tax	(24,375)	(15,385)
Net profit from continuing operations	**103,913**	**66,965**
Net profit for the reporting period	**103,913**	**66,965**

3.2. Condensed consolidated statement of comprehensive income

for the period from 1 January 2020 to 31 March 2020 (PLN 000s)

	01.01.2020-31.03.2020	*01.01.2019-31.03.2019*
Net profit for the reporting period	**103,913**	**66,965**
Items not subject to reclassification to profit in subsequent reporting periods:		
Net other comprehensive income not subject to reclassification to profit/(loss) in subsequent reporting periods	-	-
Net other comprehensive income	-	-
Comprehensive income in the reporting period	**103,913**	**66,965**
Comprehensive income attributable:		
To owners of the parent	**103,913**	**66,965**
Non-controlling shareholders	-	-
	103,913	**66,965**

3.3. Condensed consolidated statement of financial position

as at 31 March 2020 (PLN 000s)

	31.03.2020	*31.12.2019*	*31.03.2019**
ASSETS			
Property, plant and equipment	2,950,860	2,846,818	2,570,494
Right-of-use assets	242,531	251,744	-
Intangible assets	99,895	99,048	98,568
Other non-financial assets	12	14	20
Deferred tax assets	18,649	18,139	16,638
Total non-current assets	**3,311,947**	**3,215,763**	**2,685,720**
Inventories	730,058	623,995	451,458
Trade and other receivables	40,308	78,123	47,781
Income tax receivables	2	123	-
Other non-financial assets	60,089	37,729	98,430
Other financial assets	448	297	-
Cash and cash equivalents	355,740	394,720	164,192
Total current assets	**1,186,645**	**1,134,987**	**761,861**
TOTAL ASSETS	**4,498,592**	**4,350,750**	**3,447,581**
EQUITY AND LIABILITIES			
Equity (attributable to owners of the parent)	**1,726,266**	**1,622,353**	**1,278,838**
Share capital	9,804	9,804	9,804
Supplementary capital	1,652,132	1,652,132	1,307,273
Retained earnings	56,830	(47,083)	(45,739)
Other equity	7,500	7,500	7,500
Non-controlling interests	-	-	-
Total equity	**1 726 266**	**1,622,353**	**1,278,838**
Interest-bearing loans and borrowings	748,784	578,755	683,456
Lease liabilities	93,682	99,922	68,833
Liabilities by virtue of outstanding securities	169,929	169,926	99,853
Other liabilities	180	210	240
Provisions for employee benefits	1,830	1,830	1,550
Deferred tax liability	17,959	9,509	15,612
Accruals and deferred revenue	21	65	246
Total non-current liabilities	**1,032,385**	**860,217**	**869,790**
Trade and other payables	1,308,904	1,474,503	1,022,774
Current part of interest-bearing loans and borrowings	169,438	137,705	138,220
Lease liabilities	51,596	56,316	47,874
Liabilities by virtue of outstanding securities	100,702	100,724	636
Income tax liabilities	71,014	68,606	61,969
Accruals and deferred revenue	37,267	29,306	26,939
Provisions for employee benefits	1,020	1,020	541
Total current liabilities	**1,739,941**	**1,868,180**	**1,298,953**
Total liabilities	**2,772,326**	**2,728,397**	**2,168,743**
TOTAL EQUITY AND LIABILITIES	**4,498,592**	**4,350,750**	**3,447,581**

**restated data*

3.4. Condensed consolidated statement of cash flows

for the period from 1 January 2020 to 31 March 2020 (PLN 000s)

	01.01.2020-31.03.2020	***01.01.2019-31.03.2019****
Cash flow from operating activities		
Profit before tax	*128,288*	*82,350*
Adjustments for the line items:	*(108,542)*	*(66,083)*
Depreciation and amortization	46,506	37,398
(Profit)/loss on investment activity	372	929
Movement in trade receivables and other receivables	36,472	(16,237)
Movement in inventories	(106,063)	(6,101)
Movement in liabilities, except for loans and borrowings	(75,265)	(71,715)
Interest revenue	(370)	(69)
Interest expense	15,927	12,326
Movement in prepayments, accruals and deferred revenue	(12,218)	(11,551)
Movement in provisions	-	-
Income tax paid	(13,903)	(11,063)
Other	-	-
Net cash from operating activities	**19,746**	**16,267**
Cash flow from investing activities		
Sale of items of property, plant and equipment and intangible assets	511	440
Purchase of items of property, plant and equipment and intangible assets	(229,469)	(241,666)
Interest received	370	69
Granting of loans	(151)	-
Net cash from investing activities	**(228,739)**	**(241,157)**
Cash flow from financing activities		
Payment of lease liabilities	(15,820)	(11,891)
Proceeds from obtained loans/borrowings	235,919	206,549
Repayment of loans/borrowings	(34,158)	(62,814)
Interest paid	(15,928)	(11,682)
Net cash from financing activities	**170,013**	**120,162**
Net increase in cash and cash equivalents	(38,980)	(104,728)
Cash at the beginning of the period	**394,720**	**268,920**
Cash at the end of the period	**355,740**	**164,192**

**restated data*

3.5. Condensed consolidated statement of changes in equity

for the period from 1 January 2020 to 31 March 2020 (PLN 000s)

	Attributable to owners of the parent				
	Share capital	*Supplementary capital*	*Retained earnings*	*Other equity*	*Total*
As at 1 January 2020	**9,804**	**1,652,132**	**(47,083)**	**7,500**	**1,622,353**
Net profit for 2020	-	-	103,913	-	103,913
Other net comprehensive income for 2020	-	-	-	-	-
Comprehensive income for the year	-	-	*103,913*	-	*103,913*
As at 31 March 2020	**9,804**	**1,652,132**	**56,830**	**7,500**	**1,726,266**
As at 1 January 2019	**9,804**	**1,307,273**	**(112,704)**	**7,500**	**1,211,873**
Net profit for 2019	-	-	410,907	-	410,907
Net other comprehensive income in 2019	-	-	(427)	-	(427)
Comprehensive income for the year	-	-	*410,480*	-	*410,480*
Distribution of the 2019 financial result	-	344,859	(344,859)	-	-
As at 31 December 2019	**9,804**	**1,652,132**	**(47,083)**	**7,500**	**1,622,353**
As at 1 January 2019	**9,804**	**1,307,273**	**(112,704)**	**7,500**	**1,211,873**
Net profit for 2019	-	-	66,965	-	66,965
Net other comprehensive income in 2019	-	-	-	-	-
Comprehensive income for the year	-	-	*66,965*	-	*66,965*
As at 31 March 2019	**9,804**	**1,307,273**	**(45,739)**	**7,500**	**1,278,838**

4. Condensed standalone financial statements of Dino Polska S.A.

4.1. Selected standalone financial data

	PLN 000s		EUR 000s*	
	01.01.2020-31.03.2020	01.01.2019-31.03.2019	01.01.2020-31.03.2020	01.01.2019-31.03.2019
Sales revenue	2,214,931	1,556,956	503,817	362,268
Operating profit	109,408	64,935	24,886	15,109
Profit before tax	95,002	54,279	21,610	12,629
Net profit	76,952	43,922	17,504	10,220
Number of shares	98 040 000	98 040 000	98 040 000	98 040 000
Basic/diluted earnings per share in PLN, EUR	0.78	0.45	0.18	0.10
Cash flow from operating activities	(22,290)	(3,822)	(5,070)	(889)
Cash flow from investing activities	(168,758)	(159,001)	(38,386)	(36,996)
Cash flow from financing activities	130,869	62,530	29,768	14,549
Net change in cash and cash equivalents	(60,179)	(100,293)	(13,689)	(23,336)

* In the case of data in EUR, the arithmetic mean of the EUR/PLN exchange rates published by the National Bank of Poland on the last day of every month in a given reporting period were used:

- average NBP exchange rate for Q1 2020: 4.3963
- average NBP exchange rate for Q1 2019: 4.2978

	PLN 000s		EUR 000s*	
	31.03.2020	31.12.2019	31.03.2020	31.12.2019
Total assets	4,006,079	3,918,286	880,012	920,109
Total non-current assets	2,757,218	2,660,390	605,676	624,725
Total current assets	1,248,861	1,257,896	274,336	295,385
Equity	1,325,123	1,248,171	291,089	293,101
Share capital	9,804	9,804	2,154	2,302
Non-current liabilities	810,565	681,932	178,056	160,134
Current liabilities	1,783,885	1,922,179	391,865	451,375

* In the case of data in EUR, the average EUR/PLN exchange rates in the period, as published by the National Bank of Poland, were used:

- NBP's average exchange rate as at 31 Mar. 2020: 4.5523
- NBP's average exchange rate as at 31 Dec. 2019: 4.2585

4.2. Condensed standalone statement of profit or loss

for the period from 1 January 2020 to 31 March 2020 (PLN 000s)

(in thousands of PLN)	***01.01.2020-31.03.2020***	***01.01.2019-31.03.2019***
A. Net revenues on sales and equivalents	**2,214,931**	**1,556,956**
I. Net revenue on sales of products	4,429	3,466
IV. Net revenue on sales of goods and materials	2,210,502	1,553,490
B. Operating expenses	**2,103,910**	**1,491,409**
I. Depreciation and amortization	33,761	25,703
II. Consumption of materials and energy	32,477	23,898
III. External services	110,585	88,164
IV. Taxes and fees	10,782	7,006
V. Employee benefits	200,028	140,048
VI. Social security and other benefits	42,427	30,784
VII. Other costs by nature	6,333	5,719
VIII. Cost of goods and materials sold	1,667,517	1,170,087
C. Sales profit (loss) (A-B)	**111,021**	**65,547**
D. Other operating income	1,626	1,105
E. Other operating expenses	3,239	1,717
F. Operating profit (loss) (C+D-E)	**109,408**	**64,935**
G. Financial income	1,818	1,903
H. Financial expenses	16,224	12,559
I. Profit / (loss) before tax (F+G-H)	**95,002**	**54,279**
J. Income tax	**18,050**	**10,357**
K. Other mandatory decreases of profit (increases of loss)	-	-
L. Net profit (loss) (I-J-K)	**76,952**	**43,922**

4.3. Condensed standalone balance sheet

as at 31 March 2020 (PLN 000s)

	31.03.2020	*31.12.2019*	*31.03.2019**
Assets			
A. Non-current assets	**2,757,218**	**2,660,390**	**2,162,053**
I. Intangible assets	26,700	26,024	26,468
II. Property, plant and equipment	1,937,582	1,848,345	1,379,308
III. Non-current receivables	-	-	-
IV. Non-current investments	755,836	755,835	727,435
V. Non-current prepayments and accruals	37,100	30,186	28,842
B. Current assets	**1,248,861**	**1,257,896**	**844,594**
I. Inventories	694,594	601,195	429,158
II. Current receivables	72,327	100,447	85,239
III. Current investments	467,422	554,276	319,616
IV. Current prepayments and accruals	14,518	1,978	10,581
C. Contributions due to share capital	-	-	-
D. Treasury stock	-	-	-
Total assets	**4,006,079**	**3 918 286**	**3 006 647**

	31.03.2020	*31.12.2019*	*31.03.2019**
Equity and liabilities			
A. Equity	**1,325,123**	**1,248,171**	**973,892**
I. Share capital	9,804	9,804	9,804
II. Supplementary capital	889,818	889,818	681,260
III. Revaluation reserve (fund)	-	-	-
IV. Other reserve capital	-	-	-
V. Profit (loss) brought forward	318,201	-	208,558
VI. Net profit (loss)	76,952	318,201	43,922
VII. Other items of equity	30,348	30,348	31,783
VIII. Charges to net profit during the financial year (negative figure)	-	-	(1,435)
B. Liabilities and provisions for liabilities	**2,680,956**	**2,670,115**	**2,032,755**
I. Provisions for liabilities	54,315	39,639	44,717
II. Non-current liabilities	810,565	681,932	664,545
III. Current liabilities	1,783,885	1,922,179	1,301,213
IV. Accruals and deferred revenue	32,191	26,365	22,280
Total liabilities and equity	**4,006,079**	**3,918,286**	**3,006,647**

** data restated*

4.4. Condensed standalone statement of cash flows

for the period from 1 January 2020 to 31 March 2020 (PLN 000s)

(in thousands of PLN)	*01.01.2020-31.03.2020*	*01.01.2019-31.03.2019**
A. Cash flow from operating activities		
I. Net profit (loss)	**76,952**	**43,922**
II. Total adjustments	**(99,242)**	**(47,744)**
1. Depreciation and amortization	33,761	25,703
2. Gains (losses) arising from changes in foreign currency exchange rates	-	-
3. Interest and profit sharing (dividends)	12,921	9,166
4. Profit (loss) on investing activity	458	914
5. Movement in provisions	14,676	15,047
6. Movement in inventories	(93,399)	(537)
7. Movement in receivables	28,836	8,793
8. Movement in current liabilities, except for loans and borrowings	(82,867)	(94,012)
9. Movement in prepayments, accruals and deferred revenue	(13,628)	(12,818)
10. Other adjustments	-	-
III. Net cash flow from operating activities (I±II)	**(22,290)**	**(3,822)**
B. Cash flow from investing activities		
I. Inflows	**37,968**	**77,832**
1. Sale of intangible assets and property, plant and equipment	41	276
2. Sale of investments in real property and intangible assets	-	-
3. From financial assets, of which:	37,927	77,556
a) in related entities	37,786	77,513
b) in other entities	141	43
- interest	141	43
II. Outflows	**(206,726)**	**(236,833)**
1. Purchase of intangible assets and property, plant and equipment	(195,726)	(162,370)
2. Investments in real property and intangible assets	-	-
3. Towards financial assets, of which:	(11,000)	(74,463)
a) in related entities	(11,000)	(74,463)
III. Net cash flow from investing activities (I-II)	**(168,758)**	**(159,001)**
C. Cash flow from financing activities		
I. Inflows	**185,919**	**144,549**
1. Net inflows on the delivery of shares (share issue) and other equity instruments and capital contributions	-	-
2. Loans and borrowings	185,919	144,549
3. Issue of debt securities	-	-
4. Other financial proceeds	-	-
II. Outflows	**(55,050)**	**(82,019)**
1. Purchase of treasury shares	-	-
2. Dividends and other distributions to owners	-	-
3. Profit-sharing expenditures other than distributions to owners	-	-
4. Repayment of loans and borrowings	(28,097)	(59,656)
5. Redemption of debt securities	-	-
6. On account of other financial liabilities	-	-
7. Payment of finance lease liabilities	(12,054)	(10,353)
8. Interest	(13,396)	(10,550)
9. Other financial expenditures	(1,503)	(1,460)
III. Net cash from financing activities (I-II)	**130,869**	**62,530**
D. Total net cash flow (A.III±B.III±C.III)	**(60,179)**	**(100,293)**
E. Balance sheet movement in cash, including	**(60,179)**	**(100,293)**
F. Cash at the beginning of the period	**377,737**	**259,384**
G. Cash at the end of the period (F±D), including	**317,558**	**159,091**
- restricted cash	12	105

** data restated*

4.5. Condensed standalone statement of changes in equity

for the period from 1 January 2020 to 31 March 2020 (PLN 000s)

(in thousands of PLN)	*01.01.2020-31.03.2020*	*01.01.2019-31.12.2019*	*01.01.2019-31.03.2019*
I. Equity at the beginning of the period (OB)	**1,248,171**	**929,970**	**929,970**
I.a. Equity at the beginning of the period (OB), adjusted	**1,248,171**	**929,970**	**929,970**
1. Share capital at the beginning of the period	9,804	9,804	9,804
1.1. Movement in share capital	-	-	-
1.2. Share capital at the end of the period	**9,804**	**9,804**	**9,804**
2. Supplementary capital at the beginning of the period	889,818	681,260	681,260
2.1. Changes to supplementary capital	-	208,558	-
(i) increase	-	208,558	-
- profit distribution	-	208,558	-
b) decrease	-	-	-
2.2. Balance of supplementary capital at the end of the period	**889,818**	**889,818**	**681,260**
3. Revaluation reserve at the beginning of the period	-	-	-
3.1. Changes in the revaluation reserve	-	-	-
3.2. Revaluation reserve at the end of the period	**-**	**-**	**-**
4. Other reserve capital at the beginning of the period	-	-	-
4.1. Change in other reserve capital	-	-	-
4.2. Other reserve capital at the end of the period	**-**	**-**	**-**
5. Profit (loss) brought forward at the beginning of the period	318,201	208,558	208,558
5.1. Profit brought forward at the beginning of the period	318,201	208,558	208,558
5.2. Profit brought forward at the beginning of the period, adjusted	318,201	208,558	208,558
(i) increase	-	-	-
b) decrease	-	(208,558)	-
- distribution of profits brought forward	-	(208,558)	-
5.3. Profit brought forward at the end of the period	318,201	-	208,558
5.4. Loss brought forward at the beginning of the period	-	-	-
5.5. Loss brought forward at the beginning of the period, adjusted	-	-	-
(i) increase	-	-	-
b) decrease	-	-	-
5.6. Losses brought forward at the end of the period	-	-	-
5.7. Profit (loss) brought forward at the end of the period	**318,201**	**-**	**208,558**
6. Net result	**76,952**	**318,201**	**43,922**
a) net profit	76,952	318,201	43,922
b) net loss	-	-	-
c) charges to profit	-	-	-
7. Other items of equity at the beginning of the period	30,348	31,783	31,783
7.1 Change in other items of equity	-	(1,435)	-
(i) increase	-	(1,435)	-
- effect of settlement of the merger with a subsidiary	-	(1,435)	-
7. Other items of equity at the end of the period	**30,348**	**30,348**	**31,783**
8. Charges to net profit during the financial year (negative figure)	**-**	**-**	**(1,435)**
II. Equity at the end of the period (CB)	**1,325,123**	**1,248,171**	**973,892**
III. Equity after considering the proposed distribution of profits (coverage of losses)	**1,325,123**	**1,248,171**	**973,892**

5. NOTES TO THE FINANCIAL STATEMENTS

5.1. General rules adopted for the preparation of the interim quarterly statements

5.2. General rules adopted for the preparation of the interim quarterly statements

Consolidated statements

The presented interim (quarterly) condensed consolidated financial statements were prepared in accordance with:

- International Accounting Standard 34 – Interim Financial Reporting and International Financial Reporting Standards (hereinafter "IFRS") published in the Commission Regulation (EC) no. 1725/2003 of 29 September 2003, as amended,
- to the extent not regulated by the above standards – according to the requirements of the Accounting Act of 29 September 1994 (Journal of Laws of 2016, Item 1047 as amended) and executive regulations issued on its basis,
- pursuant to the requirements set forth in the Finance Minister's Regulation of 19 February 2009 on the current and periodic information transmitted by securities issuers (Journal of Laws of 2009, No. 33 Item 259).

The accounting policies are the same as those used to prepare the consolidated financial statements for the year 2019.

These interim (quarterly) condensed consolidated financial statements have been prepared based on the assumption that the Group companies will continue as a going concern in the foreseeable future, except for Vitrena Holdings Ltd., which is currently being liquidated.

The interim (condensed) consolidated financial statements for the period from 1 January 2020 to 31 March 2020 were prepared in Polish zloty, rounded to one thousand zloty (unless otherwise stated).

Standalone financial statements

The presented interim (quarterly) condensed standalone financial statements were prepared according to the following:

- provisions of the Accounting Act of 29 September 1994 (Journal of Laws of 2016, Item 1047 as amended) and executive regulations issued on its basis,
- pursuant to the requirements set forth in the Finance Minister's Regulation of 19 February 2009 on the current and periodic information transmitted by securities issuers (Journal of Laws of 2009, No. 33 Item 259).

The accounting policies are the same as those used to prepare the standalone financial statements for the year 2019.

These interim (quarterly) standalone financial statements have been prepared with the assumption that the Company will continue its business as a going concern in the foreseeable future.

The interim (condensed) standalone financial statements for the period from 1 January 2020 to 31 March 2020 were prepared in Polish zloty, rounded to one thousand zloty (unless otherwise stated).

The differences in the value of the disclosed data and the material differences pertaining to the accepted accounting standards (policies) between the financial statements drawn up in accordance with Polish Accounting Standards and the financial statements drawn up according to IFRS

The Company is the Group's parent company, which has an obligation to prepare consolidated financial statements according to the IFRS standards endorsed by the EU. The Group in which the Company is the parent company prepared its first annual consolidated financial statements compliant with IFRS endorsed by the EU for the financial year ended 31 December 2013. The Group selected 1 January 2013 as the date of transition to IFRS.

The Company's date of transition to IFRS cannot be determined definitively because the Company has not made a decision on that date, hor has it prepared its first financial statements compliant with IFRS endorsed by the EU. Had the financial statements been prepared in accordance with IFRS, the main differences between the accounting standards accepted for the attached financial statements and IFRS, under the assumption that the date of transition to IFRS is 1 January 2013, would pertain in particular to the following areas:

- determination of the residual value of fixed assets,
- separation of components and determination of depreciation charges for the actual periods of use,
- retraction of the calculated depreciation charges for trademarks as of the date of the Group's transition to IFRS,
- recognition of fixed assets and lease liabilities under IFRS16.

The presentation of some lines items of the financial statements may differ between Polish Accounting Standards and IFRS. The differences in presentation do not affect the Company's equity and net result. The components of the various line items of the financial statements and the scope of additional information to the financial statements according to the Polish Accounting Standards and IFRS may differ to a material degree.

Table depicting the effects of the disclosed differences in net profit and equity:

Equity according to PAS	**1,325,123**
Adjusted depreciation and amortization on account of residual value	1,549
Adjusted depreciation and amortization on account of the non-recurring retirement of fixed assets	26
Adjusted depreciation and amortization on account of the separation of components	(1,346)
Adjustment - amortization of trademarks	6,447
Adjustment - lease of fixed assets (IFRS 16)	(6,022)
Equity according to IFRS	**1,325,777**
Net profit according to PAS	**76,952**
Adjusted depreciation and amortization on account of residual value	81
Adjusted depreciation and amortization on account of the non-recurring retirement of fixed assets	(117)
Adjusted depreciation and amortization on account of the separation of components	(155)
Adjustment - amortization of trademarks	195
Adjustment - lease of fixed assets (IFRS 16)	(954)
Net profit according to IFRS	**76,002**
Other comprehensive income	-

The identification and measurement of these differences require the preparation of estimates and assumptions that do affect the disclosed figures. Even though the accepted assumptions and estimates are based on the Company's best knowledge, the actual figures may vary from the anticipated figures. This note identifying the major areas of difference between Polish Accounting Standards and IFRS has been drawn up on the basis of IFRS in force as at 31 March 2020 and under the assumption that the date for transition to IFRS is 1 January 2013. Since work is still in progress on more standards and amending the current standards it is possible that the standards according to which the Company will prepare its first financial statements complying with IFRS will differ from the standards applicable to the preparation of this note. The assumption concerning the date as of which the values of assets and liabilities would be determined in the Company's financial statements complying with IFRS stems from the option for the Management Board to utilize the exemption contemplated by paragraph 24 of IFRS 1, according to which the Company may accept the values carried in the parent company's consolidated financial statements compliant with IFRS on the basis of the parent company's date of transition to IFRS, i.e. 1 January 2013; however, the Company's Management Board may in any event alter that decision and it may accept its own date for the transition to applying IFRS.

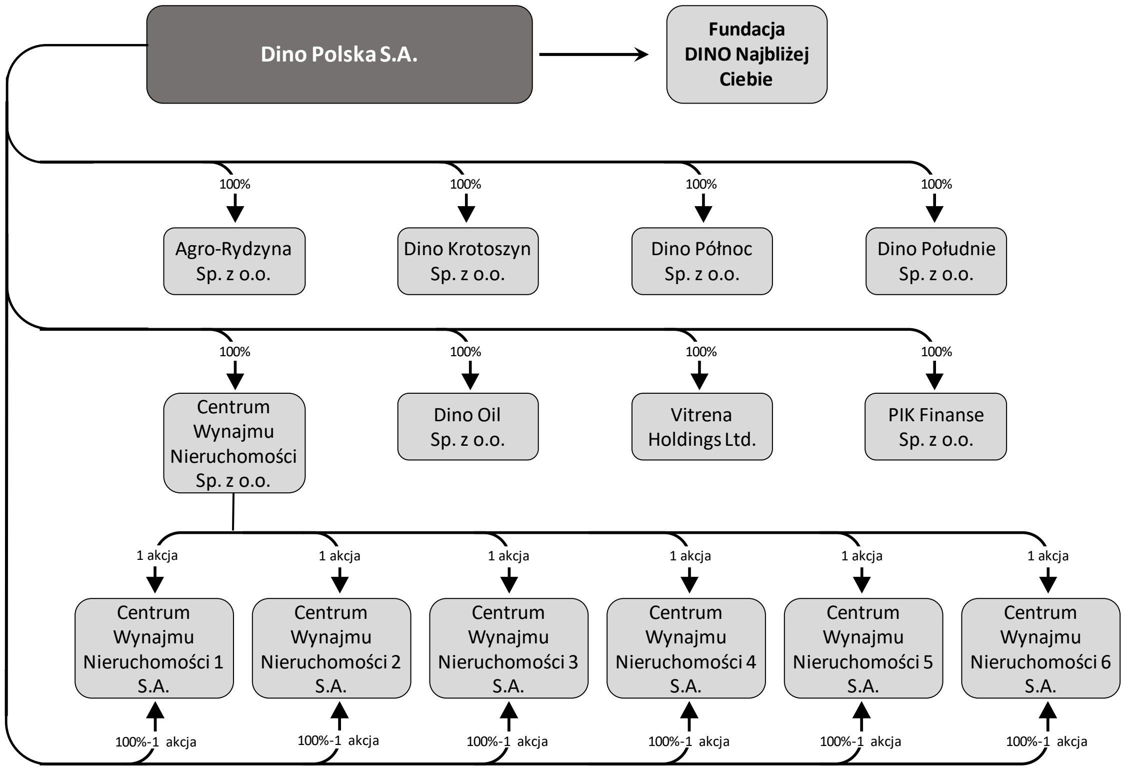
Moreover, according to IFRS, only complete financial statements containing a balance sheet, a statement of comprehensive income and/or a statement of profit or loss, a statement of changes in equity, a statement of cash flows with comparable data and notes may accurately present financial standing, business results and cash flow according to IFRS.

5.3. Group Overview

Dino Polska is the parent company of the Dino Polska Group. The company runs a business involving the management of the store network under the Dino brand. The Company manages, among others, the logistics of supply of products to the stores, sales, product range offered in the stores and supports other Subsidiaries (Real Estate Lease Centers) execution of investment processes related to securing new sites and building new stores. The Company also owns some of the real properties on which the stores are located and leases facilities in which the stores are located from third parties and other Group Companies that own the properties.

Dino Polska is run by a three-person Management Board in the following composition: Szymon Piduch, Chief Executive Officer and President of the Management Board, Michał Krauze, Chief Financial Officer and Management Board Member and Michał Muskała, Management Board Member.

The chart below depicts the Dino Polska Group's structure



5.4. Seasonality and business cycles

Sales revenues and financial results reported in individual quarters reflect the seasonality of sales. The Group posts heightened revenue in periods close to holidays and in the summer. Moreover, the Dino Group's revenue also depends on the number of store openings, which in the first quarter of the year is as a rule lower than in the other quarters of the year, especially in Q3 and Q4.

5.5. Other information

An atypical event in the Dino Group's business in the period from 1 January 2020 to 31 March 2020 was the deteriorating epidemiological situation in Poland and the ensuing restrictions enacted by the government pertaining to the movement of the population and the functioning of businesses. As a result thereof, in the middle of March 2020, the Company observed greater shopping activity among its customers who were engaged in stockpiling goods. Concurrently, the Company was compelled to incur certain incremental operating expenses related to the necessity of adapting to the epidemiological situation, and in particular to the necessity of phasing in a very rigorous sanitary regime in its store network and distribution centers.

The epidemiological situation may continue to exert an impact on the business of Dino Polska S.A. and the Group. The Company is monitoring it on an ongoing basis and submits to the instructions given by the Chief Sanitary Inspector and other services in Poland. The Company undertakes special precautionary measures and instructs its employees on implementing them. As of the report date all of the Company's operating areas are functioning efficiently and there are no material reasons to revise any of the plans and targets the Company's Management Board has set for 2020.

Impairment losses

In the period covered by this report, the Group did not recognize any impairment losses for inventories.

Consolidated financial data
for the period from 1 January 2020 to 31 March 2020

(PLN 000s)	31.03.2020	Change	31.12.2019
Impairment losses on receivables	484	228	256

Unconsolidated financial data
for the period from 1 January 2020 to 31 March 2020

(PLN 000s)	31.03.2020	Change	31.12.2019
Impairment losses on receivables	416	228	188

Information on the recognition, increase, use and reversal of provisions

Consolidated financial data
for the period from 1 January 2020 to 31 March 2020

(PLN 000s)	31.03.2020	Change	31.12.2019
Deferred tax liability	17,959	8,450	9,509
Provision for pension and similar benefits	2,850	-	2,850
	20,809	**8,450**	**12,359**

Unconsolidated financial data
for the period from 1 January 2020 to 31 March 2020

(PLN 000s)	31.03.2020	change	31.12.2019
Deferred tax liability	51,790	14,676	37,114
Provision for pension and similar benefits	2,525	-	2,525
	54,315	**14,676**	**39,639**

Information on deferred tax liabilities and assets

Consolidated financial data
for the period from 1 January 2020 to 31 March 2020

(PLN 000s)	31.03.2020	change	31.12.2019
Deferred tax liability	17,959	8,450	9,509
Deferred tax asset	18,649	510	18,139
		7,940	

Unconsolidated financial data
for the period from 1 January 2020 to 31 March 2020

(PLN 000s)	31.03.2020	change	31.12.2019
Deferred tax liability	51,790	14,676	37,114
Deferred tax asset	37,100	6,914	30,186
		7,762	

Material purchase and sale transactions of property, plant and equipment

In the presented period, purchases related to the further expansion of the Dino Group store network and expansion of warehouse space as well as the purchases related to store and warehouse fit-outs constituted major transactions involving the purchase of property, plant and equipment. In the period from 1 January to 31 March 2020, the Group incurred capital expenditures of approximately PLN 134 million, including fixed assets under construction (roughly PLN 199 million in 2019).

Material obligations on account of property, plant and equipment purchases

As at the date of the financial statements, liabilities for property, plant and equipment purchases were related mainly to the purchase of construction services related to the ongoing rollout of the Dino Polska Group's store network. They totaled PLN 51,684 thousand. At the end of Q1 2019, investment liabilities were PLN 126,112 thousand.

Material litigation-related settlements

No material litigation appeared in the period from 1 January 2020 to 31 March 2020.

Correction of errors of previous periods

In the period covered by these statements, there were no corrections of errors of previous periods.

To ensure comparability of data for Q1 2019 a retrospective change was made to the presentation in connection with an adjustment to the definition of cash and cash equivalents, which was described in the 2019 financial statements.

As a result of applying IFRS 16 Leases, certain changes have been made to presentation in the consolidated financial statements that have exerted an impact on the comparative data. To adjust to the presentation as at 31

March 2020, the non-current and current finance lease liabilities as at 31 March 2019 totaling PLN 68,833 thousand and PLN 47,874 thousand have been split off from the line item “Interest-bearing loans and borrowings and financial liabilities” (non-current and current) and presented in the line item “Lease liabilities” (non-current and current).

Changes in the economic situation and business conditions with material effect on the fair value of financial assets and financial liabilities

The changes in the economic situation and business conditions had no material effect on the fair value of the Group’s financial assets and financial liabilities.

Information on default on a loan or borrowing or breach of material provisions of loan or borrowing agreements

No occurrences covered by this item occurred in the reporting period.

Information on related party transactions

Related party transactions were routine in nature and concluded on the arm’s length basis, at prices no different from the prices used in transactions between unrelated parties. Intra-Group transactions were eliminated in the consolidation process.

Information on changes in the fair value measurement methodology for financial instruments measured at fair value and changes in the classification of financial instruments

In this reporting period, no changes were made to the fair value measurement methodology and no changes were made to the classification of financial assets resulting from the change of purpose or use of such assets.

Information on the issue, redemption and repayment of non-equity and equity securities

No events referred to in this header occurred in the reporting period.

Information on dividend paid (or declared), in total and per share, for common and preference shares

During the reporting period, the Parent Company did not pay out any dividend.

Events taking place after the date of the quarterly condensed financial statements, which were not included in the statements but may materially affect the issuer’s future financial results

By the date of these financial statements, no events occurred that may materially affect the Group’s future financial results.

Information on changes in contingent liabilities or contingent assets that have taken place since the end of the previous financial year

No change in contingent assets was recorded in the reporting period. At the end of the reporting period, the Group had contingent liabilities arising from concluded preliminary agreements for PLN 503 million.

Other information that can materially affect the assessment of the issuer’s assets, financial position and financial result

No events other than the ones described above occurred in the reporting period that could materially affect the assessment of the Group’s assets, financial position and financial result.

6. Other information

Position of the Management Board on possibility of achieving the previously published financial performance forecasts

The Company's Management Board did not publish any forecasts for 2020.

Proceedings pending before courts or other competent bodies for the relevant proceedings

No major litigation appeared in the reporting period.

Information on related party transactions

No transactions covered by this item were concluded in the reporting period. Both the Parent Company and its subsidiaries enter into transactions on the arm's length basis.

Sureties, loans, borrowings or guarantees extended by the issuer or its subsidiary

No events referred to in this header occurred in the reporting period.

Other information

On 8 May 2020 Szymon Piduch, in consultation with the Company's Management Board and Supervisory Board, tendered his resignation from serving in the capacity of the Chief Executive Officer of Dino Polska S.A. and from serving as a member of the Company's Management Board with effect from the date of opening the next Ordinary Shareholder Meeting ("OSM"). The reason stated for his resignation was his intention to join the Company's Supervisory Board.

Also on 8 May 2020 the Company received information from Tomasz Biernacki, Chairman of the Supervisory Board and the main shareholder of Dino Polska S.A., about the proposal made to Szymon Piduch to become a member of the Dino Polska S.A. Supervisory Board. The intention is to use Szymon Piduch's extensive experience to support Dino Polska's key projects from the Supervisory Board level and, accordingly, relieve him from ongoing responsibilities related to the day-to-day management of the Company.

In connection with the consent expressed by Szymon Piduch, Tomasz Biernacki will submit a motion to the next Ordinary Shareholder Meeting to appoint Szymon Piduch to be a member of the Dino Polska S.A. Supervisory Board.

SIGNATURES OF THE MANAGEMENT BOARD MEMBERS

Szymon Piduch – President of the Management Board ……………………………….…………

Michał Krauze – Management Board Member ………………………………………

Michał Muskała – Management Board Member ………………………………………

Krotoszyn, 15 May 2020